

part of their retirement or when they start generating income. And after the market meltdown earlier this decade, the sequence of returns risk might not be as remote as during the euphoria of the late '90s. Indeed, markets don't have to go down and stay down to ruin your retirement. All you need is a bear market at the wrong time, and the sustainability of your income can be cut in half.

TABLE 9.4 The Increasing Galaxy of Annuity Riders

What Is It Called?	Clunky Acronym	What Exactly Does It Do?
Income Benefit	<i>GMIB Guaranteed Minimum Income Benefit</i>	Provides the ability to convert the “best” or “most favorable” policy value into lifetime income at a guaranteed rate by annuitizing
Withdrawal Benefit	<i>GMWB fL Guaranteed Minimum Withdrawal Benefit (for Life)</i>	Allows for a systematic withdrawal plan that guarantees a minimal income for a fixed period of time (for example, 10 to 25 years) or in some case, for life
Accumulation Benefit	<i>GMAB Guaranteed Minimum Accumulation Benefit</i>	Guarantees to return “at least” your entire original investment back, if not more, at some predetermined horizon (for example, 10 years) or age
Longevity Benefit	<i>ALDA Advanced Life Delayed Annuity</i>	Provides lifetime income that starts at advanced ages (for example, 85) in exchange for a small insurance premium that you pay upfront or over time

Source: Moshe Milevsky and the IFID Centre, 2008.

Are the Fees (Still) Too High?

This leads me to my main point, which is that I'm now getting the impression that the latest guarantees and riders offered with variable annuities are actually worth much more than what some insurance companies are charging in pure insurance fees.

Yes, this sounds like an odd thing to say given the position of my earlier study. But, when I analyze the extra rider fees charged in the